

Also, it is recommended to arrive at realistic valuation. Neither do you want to get a lower valuation for yourself nor an irrationally high valuation.

An inflated valuation will make the business along treadmill for you where you are constantly fighting for valuation.



You want to be where the valuation can be justified, and the investors can make money.

Understand that they are supporting you with their:



to scale your business.

They should be well rewarded for the risk they are taking and, more importantly, for the support they gave you when no else did. This is the first reason why the valuation should be fair.

